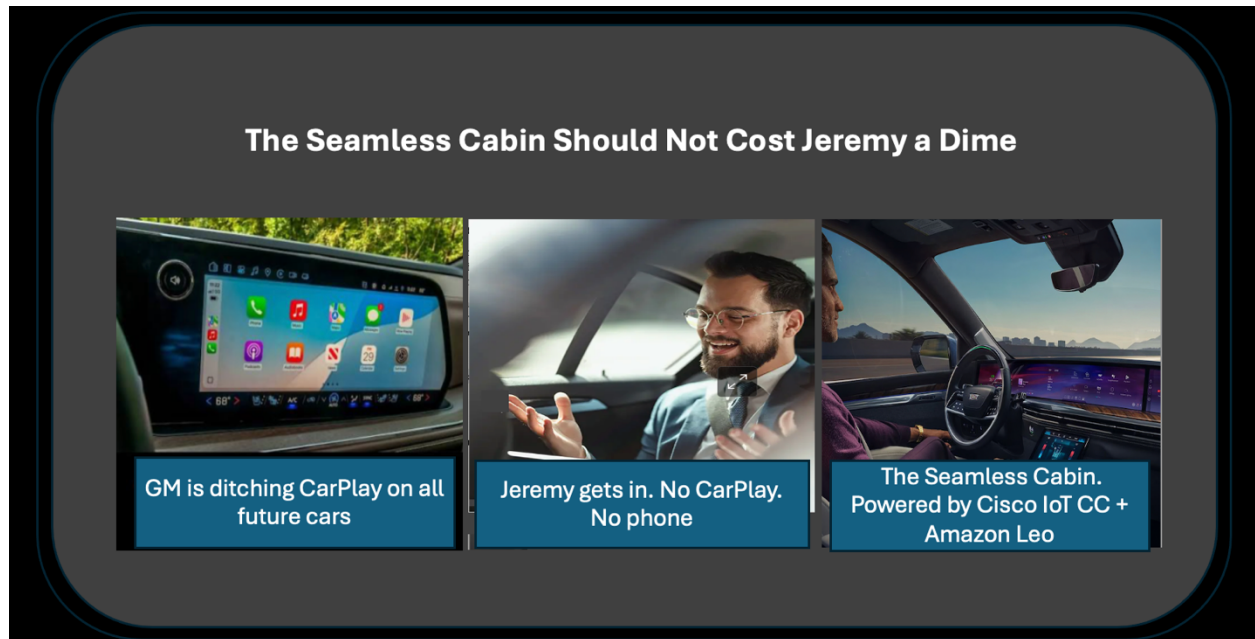


Cisco and Amazon Launch "Nova": The Zero-Cost Hybrid Network for the Software Defined Vehicle Era



Sunnyvale, CA-April 2026 - Cisco and Amazon today announced Nova, the connectivity platform that makes the OEM's cabin seamless. Nova enables non-Tesla automakers to deliver personalized, always-on experiences by combining Amazon Leo's satellite network, AT&T 5G, and Cisco IoT Control Center at zero cost to the driver. General Motors is Nova's launch partner, deploying across Cadillac, Chevrolet, and GMC beginning in 2027.

Today, one in three new car buyers lists CarPlay as a requirement because the native OEM's cabin experience is trapped behind a paywall. Tesla charges \$9.99 a month for its cellular connectivity, but drivers are wary of these hidden charges. When Jeremy buys a Cadillac, he connects CarPlay because GM's native Ultifi system requires a paid subscription.

Nova changes the math. Unlike Tesla's reliance on cellular network, Nova is a hybrid network. It utilizes Amazon Leo (Non-Terrestrial Broadband) for a global satellite backbone and AT&T for urban 5G. And Cisco IoT Control Center orchestrates these networks invisibly. Therefore, GM can offer the entire experience for free.

The "Nova" User Journey: Jeremy pulls out of his driveway, and his kitchen Spotify playlist continues in his Cadillac without CarPlay and without reaching for his phone. As he merges onto I-94 and the 5G signal thins out, Nova shifts seamlessly to Amazon Leo. His navigation stays live, his music never buffers, and his AI assistant responds instantly. He arrives having never thought about connectivity, because for the first time his experience is seamless.

Nova works because GM owns the relationship and Cisco is the orchestrator. Cisco IoT Control Center manages the eSIM, switching automatically between 5G and satellite in seconds. This

allows GM to bypass the high cellular roaming margins, driving down OpEx so significantly that they can afford to give the connectivity away.

The business logic is the true disruptor for OEMs. Amazon Leo does not need to make a margin on data packets. Instead, they provide the connectivity backbone to secure the high-value AWS Auto AI workloads e.g., real-time navigation, predictive maintenance, and generative assistants — these stay locked to the Amazon ecosystem. By removing the \$9.99 data tax that Tesla still charges, GM reclaims the customer relationship and stops the Apple CarPlay takeover.

The non-Tesla OEM that moves first wins the relationship that Apple is targeting with CarPlay Ultra. Nova is available to any automaker. The eSIM is in the car. The Amazon Leo constellation is in orbit. The Cisco infrastructure is ready. The window for OEMs to reclaim their cabins is less than 2 years because that is the industry's final 'Design Freeze' for the 2028 fleet. (Source: [*Winning the Automotive Software Development Race*](#))

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Frequently Asked Questions

Q1) How do the OEM, Amazon, and Cisco make money?

- A. The zero-cost seamless cabin is made possible by shifting the monetization to high value AI workloads, platform orchestration, and extended customer lifetime value.

The OEM, earns the vehicle owner, Jeremy's relationship, not the data plan margin: GM negotiates directly with Amazon Leo for wholesale LEO broadband and with AT&T for urban 5G. GM uses Amazon Leo's NTN for highway, suburban, and rural coverage. GM uses AT&T 5G for dense urban areas where low latency remains essential for safety-critical functions. Together they deliver the seamless cabin at zero cost to Jeremy.

The cost of "free" data is offset by a \$10k–\$15k increase in Customer Lifetime Value (CLV) over a 7-year ownership period. This is driven by 100% service retention (preventing "service cliff" leakage to 3rd parties) and the "Ecosystem Buy"—where 52% of owners say regular OTA updates make them keep the car longer and stay with the brand.

Source: [*S&P Global Mobility*](#).

Amazon Leo, earns the AWS workload, not the bandwidth margin: Amazon Leo does not need to make margin on the data plan. Instead, Amazon's return is measured in AWS workloads secured per vehicle. Amazon removes the connectivity barrier, and ensures the vehicle is a permanent edge node for AWS Auto AI. Revenue is generated through high-margin cloud services: predictive maintenance, Alexa-Custom-Assistant workloads, and processing up to 4TB of data vehicles generate daily for autonomous training.

The estimated AWS workload revenue per connected vehicle is \$15-\$40/month in cloud compute spend to run software defined fleet.

Source: [*SBD Automotive: The Hidden Costs of SDVs*](#).

Cisco IoT, the global orchestrator: Cisco IoT Control Center today manages 300 million devices across 50 carriers globally. Every Software Defined Vehicle (SDV) is an incremental device on a platform that already exists, already has the carrier relationships, and already has the billing infrastructure. Cisco's cost is under fifty cents per month. The platform fee Cisco charges is two to three dollars per vehicle per month and is therefore eighty to ninety percent gross margin.

Cisco isn't just acquiring new devices; they are upgrading the ARPU of their existing footprint. By moving to high-bandwidth, hybrid LEO/5G intelligent pipes, Cisco increases its service revenue through advanced security, real-time anomaly detection, and automated split-billing.

Cisco drives down OpEx for the OEM by ensuring the car always uses the most cost-efficient network available (Satellite vs. Cellular) in real-time.

Source: [*Counterpoint 2026 CMP Rankings & Cisco Network Software Portfolio \(FY2024\)*](#).

Q2) What is the actual risk to IVI adoption?

- A.** Threat isn't just about better maps. It is the race to owning the driver journey. If an OEM loses the dashboard, they become a hardware commodity while Google and Apple own the driver.

CarPlay and Android Auto (The OEM Brand Eraser): CarPlay and Android Auto are in over 90 percent of new vehicles sold today and used consistently by 83 percent of drivers who have them. One in three new car buyers lists CarPlay as a pre-requisite to purchase requirement. The OEM lost these drivers because the native OEM experience sits behind the paywall. Every day Jeremy uses CarPlay instead of GM's native cabin is another day his loyalty migrates to Apple, not to OEM who built the car.

CarPlay Ultra (The Full System Takeover): It is not a feature update, it is an environment takeover. CarPlay Ultra, launched with Aston Martin in 2025, it controls the instrument cluster, climate settings, heated seats, and radio. Apple is coming for the entire cabin. Every OEM that signs a CarPlay Ultra agreement hands Apple the cabin relationship permanently.

The AI Gatekeeper (The Final Barrier): Gemini and Apple Intelligence, are becoming the driver's personal assistant. If the driver asks, "Find me a service center" or "what is my next car?", the AI will steer them towards the ecosystem partners, not the OEM's dealership.

In summary, if Apple provides a "free" interface while the OEM experience is gated, the driver will always choose the phone. Nova breaks this by leveraging hybrid LEO + 5G network to make the native experience zero-cost, reclaiming the relationship before the phone even gets plugged in.

Q3) What happens if the OEM does nothing?

- A.** Ignoring the connectivity gap leads to a permanent loss of the customer relationship.

Billion-dollar investment sits unused: Every dollar GM invested in Ultifi, Stellantis in STLA Brain, and BMW in MBUX is behind a paywall. The vehicle OS becomes shelfware. The OEM becomes the hardware shell for Apple and Google's software. When the lease ends, drivers don't ask for the Cadillac experience, they ask if the next car has CarPlay.

The customer will not pay (Tesla proved it): If Tesla drivers who are the most loyal, most software-forward customer base in the automotive industry resist a monthly connectivity fee, then no OEM's customer will pay. The subscription model for basic connectivity is a dead end for brand loyalty.

Chinese OEMs have already removed the paywall: NIO bundles connectivity into its battery-swap energy subscription, making data "disappear" into the service. XPeng and BYD bundle intelligent cabin experiences at no extra cost, even on models starting at \$9,600. When Chinese EVs enter the US and European markets at scale, the OEM that does nothing won't just lose to Apple—they will lose to Shenzhen.

In summary, If the OEM does nothing, the cabin belongs to Apple, the loyalty belongs to Google, and the next purchase decision belongs to BYD.

Q4) What is the opportunity?

- A. The opportunity is to reclaim the "Digital Cockpit" and move from a one-time hardware sale to a high-margin, 7-year service relationship

The software-defined vehicle market is expected to reach \$460 billion by 2030. Software and services will represent 27 percent of automotive profits versus less than 5 percent today. Every OEM is mid-cycle on their vehicle OS investments right now — Ultifi, STLA Brain, MBUX — and the decisions made in the next three years determine who owns the cabin relationship for the next decade. (Source: [Mckinsey & Co.](#))

The three year SDV window is closing: OEM vehicle OS development cycles run three to five years. A Software-Defined Vehicle (SDV) is a smartphone on wheels. By separating hardware from software, OEMs can push new features (performance boosts, advanced ADAS, or cabin themes) long after the car leaves the lot. This turns the 3-year "lease-and-forget" cycle into a 7-year continuous monetization window. The OEM that removes the connectivity paywall owns the driver for the next decade. The OEM that decides incorrectly hands the cabin to Apple permanently. (Source: [Mckinsey & Co. Business Wire](#))

GM already showed the instinct is right: GM blocked CarPlay on the 2024 Chevrolet Blazer EV. The instinct was correct to own the cabin, but blocking CarPlay without offering a seamless, zero-cost native alternative left drivers frustrated and generated headlines GM did not want. Offer a free, seamless native experience that already knows the driver. Make the phone irrelevant before it gets plugged in.

Sirius XM proved drivers pay for value, not for data: Sirius XM has 34 million paying subscribers at \$15 a month. Drivers are not paying for satellite bandwidth. They are paying for Howard Stern, NFL play-by-play, and commercial-free music on every road in America. The lesson is: drivers will never pay for a data pipe that competes with the phone in their pocket. But they will pay for value-add services bundled into an experience they cannot get anywhere else, such as, premium navigation, AI concierge, in-car entertainment, predictive maintenance.

The opportunity is not to sell connectivity. It is to own the driver relationship at the moment every OEM is most vulnerable to losing it, and most motivated to fight for it.

Q5) What is OEM, Amazon and Cisco ecosystem MOAT?

- A. Nova's moat is a decade of carrier trust, 300 million provisioned devices, and the first mover advantage on NTN automotive integration, combined into one platform every non-Tesla OEM needs and no competitor can replicate before the 2-year window closes.

Why Cisco IoT Control Center as orchestration layer between Amazon Leo and 5G:

First, Cisco IoT Control Center has 50 telco relationships built over a decade. Every vehicle needs 5G fallback in dense urban areas and already has relationships with those telcos, including regulatory approvals, technical certifications, and commercial agreements with AT&T, T-Mobile, Deutsche Telekom, Softbank, Telstra, and 45 more. Amazon Leo cannot build that in 18 months. SiriusXM does not have it. Cisco has all 50.

Second, Cisco has 300 million devices already provisioned on the IoT Control Center platform. The switching cost for an OEM to a competitor platform is catastrophic for an enterprise CFO.

The high-bandwidth ecosystem: The first mover advantage of NTN integration. The first platform to manage both cellular and satellite SIMs for automotive at scale creates the standard that every subsequent OEM integrates against.

Cisco IoT Control Center as a traffic controller: The Control Center uses the eSIM Remote Manager and an AI rules-based policy engine for NTN and 5G switching.

Scenario A: Cisco detects 5G signal strength above the configured threshold. The vehicle stays on the terrestrial 5G SIM profile.

Scenario B: 5G drops. Cisco automatically toggles the eSIM to the Amazon Leo NTN profile.

Scenario C: For non-urgent OTA updates, the system defers until it reaches a Wi-Fi or 5G zone (the optimal path), preventing low-bandwidth LEO data consumption for non-critical background tasks.

Q6. What is the GTM for the low-cost network?

A. The GTM focuses on a "Value-Exchange" model where zero-cost connectivity for the driver unlocks high-margin revenue streams for the OEM, Amazon, and Cisco.

The OEM Value: 100% Cabin Adoption: By killing the subscription friction, the OEM ensures 100% of drivers stay within the native Vehicle OS ecosystem. This removes the incentive to "plug in the phone" and hands the OEM total control over the 7-year (or longer) digital relationship.

The Amazon Value: The "AI-as-a-Service" Flywheel: Amazon provides the satellite data pipe at wholesale/cost. In exchange, the vehicle becomes a permanent AWS Edge Node. Amazon captures the high-margin revenue from vehicle AI workloads, predictive maintenance modeling (via SageMaker), and Alexa Custom Assistant interactions processed in the cloud.

The Cisco Value: The "Enterprise Outcome" Model: Cisco moves from \$1/month management fee to an "Enterprise Outcome" model. By enabling Marketplace, Cisco shares in the high-bandwidth revenue of the 7-year (or longer) ownership cycle.